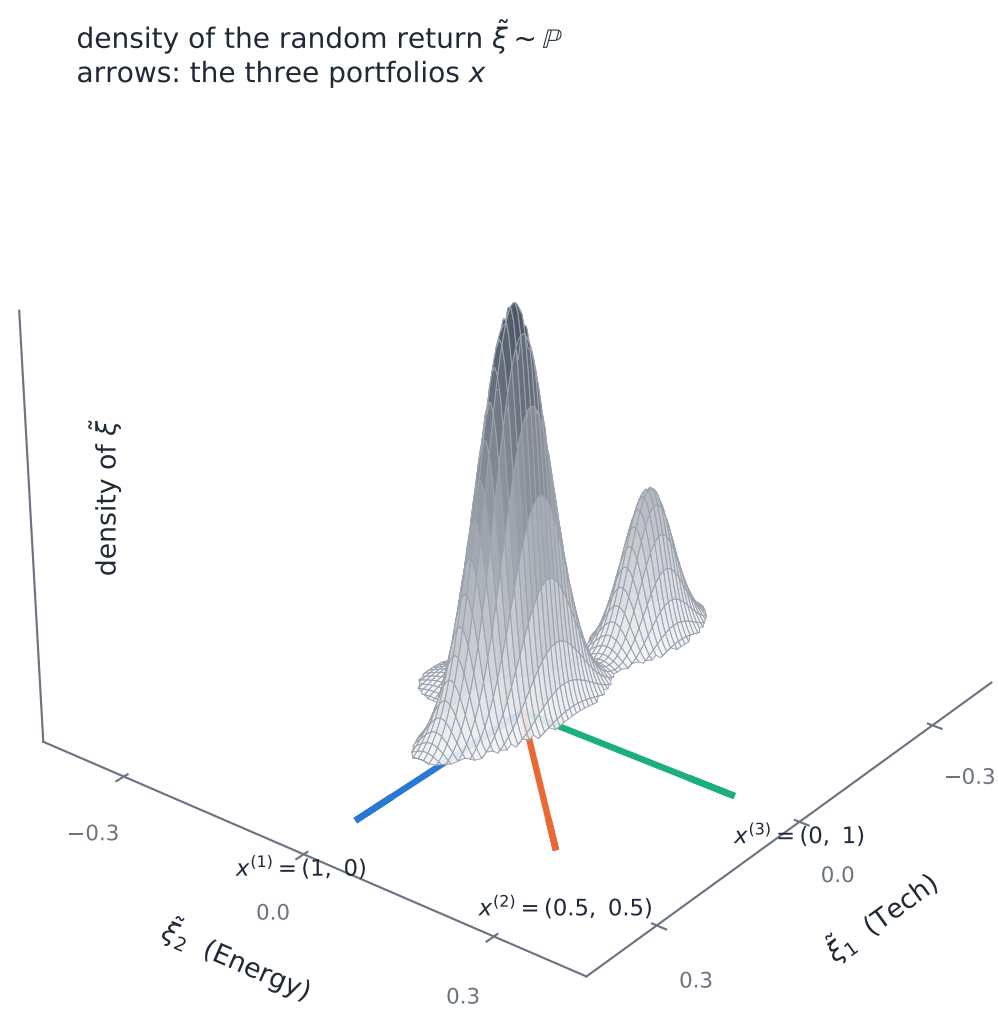
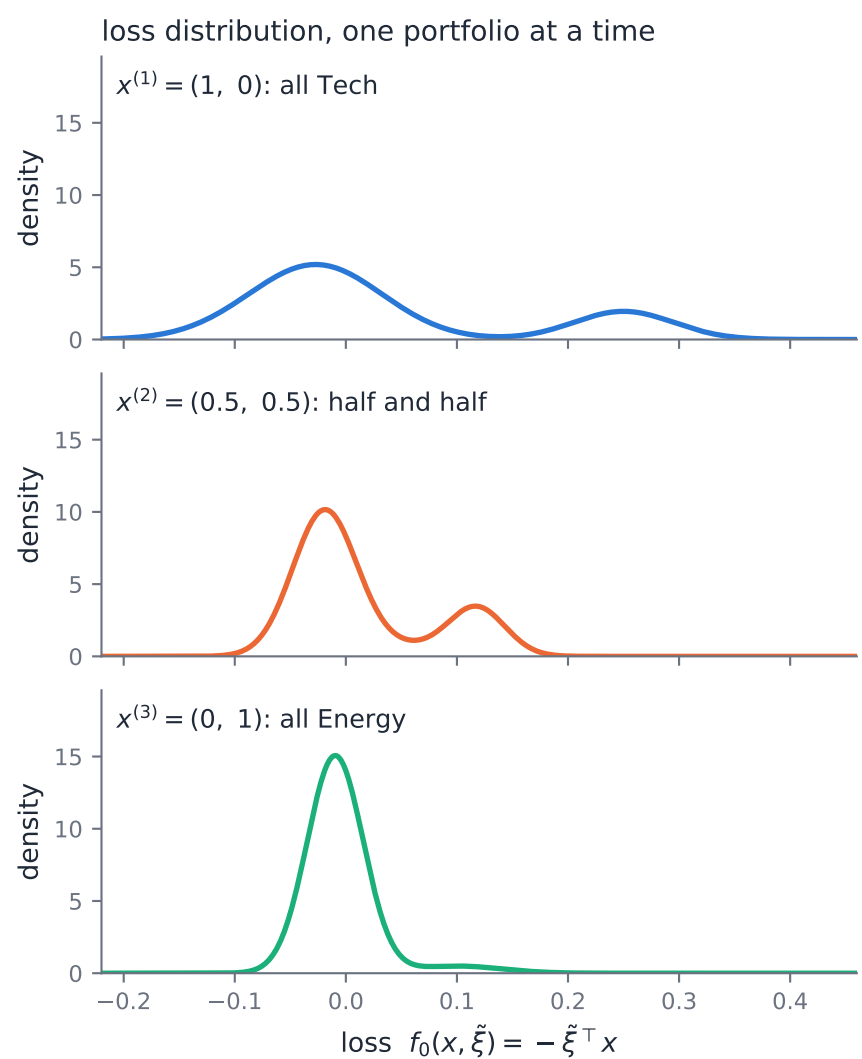

density of the random return $\tilde{\xi} \sim \mathbb{P}$
arrows: the three portfolios x
density of $\tilde{\xi}$
$x^{(1)} = (1,\ 0)$
$x^{(2)} = (0.5,\ 0.5)$
$x^{(3)} = (0,\ 1)$
$\tilde{\xi}_2$ (Energy)
$\tilde{\xi}_1$ (Tech)
−0.3
0.0
0.3


loss distribution, one portfolio at a time
$x^{(1)} = (1,\ 0)$: all Tech
$x^{(2)} = (0.5,\ 0.5)$: half and half
$x^{(3)} = (0,\ 1)$: all Energy
density
0
5
10
15
−0.2
−0.1
0.0
0.1
0.2
0.3
0.4
loss $f_0(x, \tilde{\xi}) = -\tilde{\xi}^\top x$